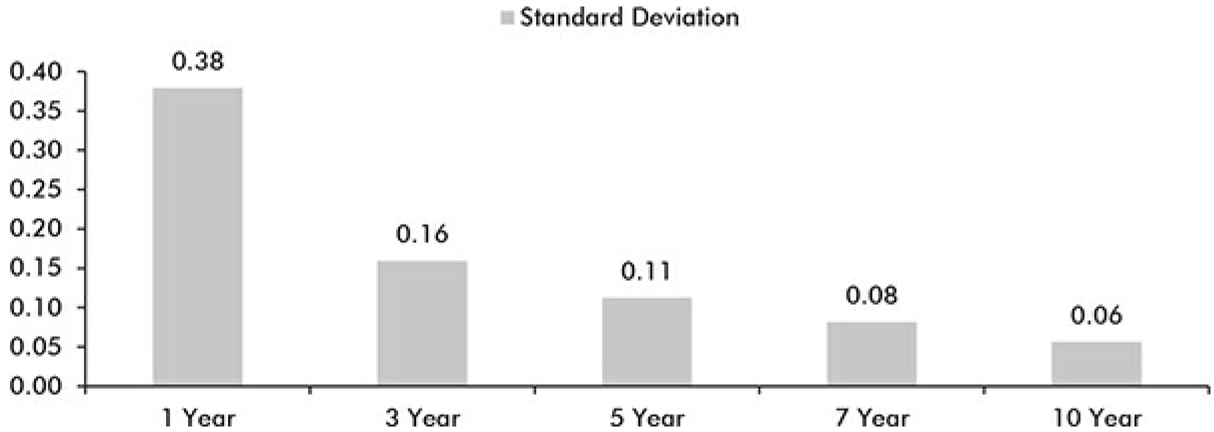
Exhibit 58: BSE Sensex's one-year investment horizon is the riskiest with risk levels being six times that of the ten-year horizon



Source: Bloomberg, Ambit Capital Research
Note: Period under consideration is January 1991–February 2017. The investment horizons are calculated on a rolling basis. For instance, the median one-year return is the median returns generated by considering 1311 one-year periods including 01/01/1991 to 01/01/1992, 08/01/1991 to 08/01/1992 and so on.

So what does all of this mean for investors looking to optimize their returns from equity investing whilst reducing risk? The exhibit below puts all of the analysis discussed in this chapter so far into one graphic. The best way to grow one's wealth is to be in the bottom-right corner of this exhibit, i.e. high return with low risk. Conversely, the worst way to grow wealth is to be in the top-left corner of this exhibit, i.e. low return with high risk. The Sensex's return over the past twenty-six years suggests that as the investment holding period increases from one year to ten years, the investor's position on the exhibit moves from top left to bottom right.